

ILLINOIS HB5760

Commission on Artificial Intelligence and Workforce Transition Act

Sponsor: Rep. Kimberly Du Buclet | Introduced May 5, 2026 | 104th General Assembly

WHAT THE BILL DOES

- Establishes a 20-member Commission on Artificial Intelligence and Workforce Transition to measure and respond to AI-driven labor disruption in Illinois.
- Directs seven State agencies — IDES, DCEO, IDOL, DoIT, ICCB, IBHE, and ISBE — to conduct occupational, industry, regional, and demographic assessments of generative and frontier AI impact.
- Requires regional and demographic differentiation: every Economic Development Region and Local Workforce Innovation Area; differential exposure by age, race, ethnicity, gender, disability, education, and English-language proficiency.
- Mandates public hearings in Chicago, Metro-East, Peoria-Bloomington, Rockford, and Southern Illinois.
- Files an initial comprehensive report 18 months after first meeting; biennial reports every even-numbered year; interim findings letters in odd-numbered years.
- Sunsets January 1, 2034 — a 7-year authorization providing three biennial report cycles before review.

WHY NOW

- Credible estimates of AI labor displacement vary widely — from roughly 6–7% of the US workforce in aggregate to substantially higher shares of entry-level white-collar positions within the decade. Illinois has no specific measurement of its own exposure.
- Illinois’ manufacturing base, the Chicagoland logistics hub, its administrative and clerical concentrations, and its public university and community college systems each present unique exposure profiles that demand occupation- and region-level analysis.
- Existing State data infrastructure (IDES Labor Market Information, WIOA reporting, WARN Act filings) was not designed to detect AI-driven occupational shifts in near real time.
- The Illinois Future of Work Task Force and the Generative AI and NLP Task Force provided valuable baselines but were not built as ongoing bodies with authority to direct periodic agency assessments.

WHAT THE BILL DOES NOT DO

- Does NOT regulate, prohibit, or restrict the development, training, deployment, or commercial offering of any AI system by a private entity (Sec. 45).
- Does NOT create a private right of action (Sec. 45).
- Does NOT impose new reporting burdens on private AI developers or deployers.
- Does NOT duplicate existing bodies — Sec. 25(6) requires coordination with the Generative AI and NLP Task Force and the Illinois Workforce Innovation Board.
- Does NOT compromise federal data-privacy law — Sec. 30(b) and Sec. 40 preserve 20 CFR Part 603, FERPA, and the Unemployment Insurance Act.

SPONSOR · Rep. Kimberly Du Buclet · 104th General Assembly

Effective immediately upon becoming law · Repealed January 1, 2034

HB5760 — SECTION-BY-SECTION ANALYSIS

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This analysis walks through each section of HB5760, identifies the statutory function it performs, and explains the design choice. It is intended as a working reference for committee staff and members.

Section 1 — Short Title

The Act may be cited as the Commission on Artificial Intelligence and Workforce Transition Act. The name follows the convention established by the Illinois Future of Work Task Force (P.A. 102-407) and the Generative AI and Natural Language Processing Task Force (20 ILCS 1370/1-80), preserving recognizability and signaling continuity with prior State efforts in this space.

Section 5 — Findings and Declaration of Policy

Seven legislative findings establish the substantive case for the Act:

- AI’s distinct adoption profile relative to prior general-purpose technologies, with material consequences for the composition, wages, and skill requirements of the Illinois labor force.
- The wide range of credible labor-displacement estimates — from approximately 6–7% of the United States workforce in aggregate to substantially higher shares of entry-level white-collar positions within the decade.
- The rationale for proactive, data-driven planning to address transition risk (“j-risk”), distinct from existing prohibitions on AI-based discrimination in employment decisions.
- The unique exposure profile of Illinois sectors — manufacturing, transportation/logistics, administrative and clerical employment, public and private services, and the public university and community college systems.
- The limits of existing Illinois workforce data infrastructure for detecting AI-driven occupational shifts in near real time.
- The contributions and limits of prior Illinois task forces — the Future of Work Task Force and the GenAI/NLP Task Force — neither of which was structured as an ongoing body with authority to direct periodic agency assessments.
- The State’s policy commitment to anticipating, measuring, and mitigating AI-driven labor transition risk and ensuring that the benefits and burdens of AI adoption are equitably distributed.

These findings ground the bill in a policy rationale that is empirically defensible without overstating the certainty of any single forecast.

Section 10 — Definitions

Defines the operative terms: “affected worker,” “appropriate State agency,” “Commission,” “Department” (DCEO), “frontier artificial intelligence system,” “generative artificial intelligence system,” “labor transition risk,” and “occupational exposure.”

Two definitional choices warrant attention:

- **Frontier artificial intelligence system.** Defined as a general-purpose AI model trained using a quantity of computing power greater than 10^{26} integer or floating-point operations, inclusive of subsequent fine-tuning, reinforcement learning, or material modifications. The threshold is set in statute rather than cross-referenced to another Illinois AI bill, making HB5760 self-contained and independent of the enactment status of related legislation.

- **Occupational exposure.** Defined by reference to the federal Standard Occupational Classification system, ensuring methodological alignment with BLS and IDES projections and with comparable analysis being developed in other states.

Section 15 — Establishment of Commission; Membership

Establishes a 20-member Commission, structured to balance bicameral legislative ownership, gubernatorial appointment flexibility, and the agency capacity required to execute the directed assessments.

Membership

- Four legislative appointees (one per caucus leader); the Senate President’s and House Speaker’s appointees serve as co-chairs.
- Nine Governor appointees, allocated across labor (2, with at least one from manufacturing/transportation/warehousing/logistics), business (2, including at least one small business and at least one Illinois-based AI developer or deployer), academic and research expertise (2, including at least one labor economist and at least one AI technical expert), workforce development (1), affected-worker advocacy (1), and lived experience as an affected worker (1).
- Seven ex officio voting members: Directors of DCEO, IDES, and IDOL; Secretary of DoIT; Executive Directors of ICCB and IBHE; and the State Superintendent of Education (or designees).

Terms and structure

Appointments due within 90 days of effective date; first meeting within 60 days of a majority being seated. Four-year terms, with initial Governor appointees staggered (4 at 2 years, 5 at 4 years) to prevent full turnover at once. Vacancies filled within 60 days. Members serve without compensation but receive reasonable expense reimbursement. Quorum is a majority of appointed and seated voting members; actions require majority of those present.

Design rationale

The composition is smaller than the Future of Work Task Force (26 members) but deeper on AI-specific expertise (AI developer/deployer representation, AI technical expert, labor economist). The two-co-chair structure (rather than four) was selected for efficiency; sponsors who prefer stronger partisan balance can consider expansion to four co-chairs. Ex officio voting status for agency heads ensures that the agencies that must execute Commission directives are in the room when priorities are set.

Section 20 — Administrative Support; Meetings

DCEO serves as the lead administrative agency, coordinating with IDES (which owns the labor market information infrastructure) and DoIT (which provides technical AI expertise). DCEO is authorized to engage independent research partners through contract or intergovernmental agreement — a structure that worked well in the Future of Work Task Force’s engagement with the University of Chicago Inclusive Economy Lab and the Metropolitan Planning Council. The Illinois Innovation Network is named as a likely partner.

Quarterly meeting floor, with additional meetings at the call of co-chairpersons or a majority of voting members. Meetings conducted under the Open Meetings Act with hybrid in-person and virtual format permitted — important for downstate member participation.

Section 25 — Duties of the Commission

Specifies seven Commission responsibilities.

(1) Direct agency assessments. The Commission directs the appropriate State agencies to conduct: occupational exposure analyses (SOC-aligned); industry-level employment projections incorporating generative AI adoption scenarios; regional analyses covering every Economic Development Region and Local Workforce Innovation Area; sector analyses (manufacturing; transportation/warehousing/logistics; administrative/clerical/customer-

contact; legal/financial/professional services; healthcare/human services; education); demographic differential exposure analyses (age, race, ethnicity, gender, disability, education, English-language proficiency); and analysis of Illinois WARN Act filings for AI-driven displacement indicia.

(2) Program review and recommendations. Identification, review, and recommendations regarding State and federal workforce development, education, apprenticeship, unemployment insurance, and income support programs in light of the agency assessments, with particular attention to rapid reemployment and reskilling capacity for affected workers.

(3) Leading practices. Compilation and evaluation of leading practices from other states, countries, and international bodies.

(4) Public tools and methodologies. Development and publication of tools, methodologies, and indicators usable by State agencies, Local Workforce Innovation Boards, educational institutions, employers, and workers.

(5) Legislative recommendations. Recommendations to the Governor and General Assembly on WARN Act amendments, targeted investments in workforce development and community college retraining, modifications to unemployment insurance and income-bridging mechanisms, workforce data infrastructure investments, and any proposed implementing legislation.

(6) Coordination. Coordination with the Illinois Workforce Innovation Board and the GenAI/NLP Task Force to avoid duplication and ensure alignment with the WIOA State Plan.

(7) Public hearings. Required hearings in Chicago, the Metro-East region, the Peoria-Bloomington corridor, the Rockford region, and Southern Illinois.

Section 30 — Duties of State Agencies

Each appropriate State agency must: designate a senior staff liaison to the Commission within 60 days of its first meeting; conduct directed assessments within Commission-established timeframes, subject to available resources; submit findings, data, and technical analyses at the Commission's direction, but not less than annually per active work stream; share non-confidential data with other agencies under Section 40 agreements; and cooperate on the reports required by Section 35.

Subsection (b) preserves federal data-privacy compliance, including 20 CFR Part 603 (unemployment insurance), FERPA (education records), and the Illinois Unemployment Insurance Act. This is essential: UI wage-record analysis is the single most valuable data stream for measuring AI displacement and also the most legally constrained.

Section 35 — Reports

Three-tier reporting structure.

- **Initial comprehensive report** — filed no later than 18 months after the Commission's first meeting. The 18-month window allows the first wave of agency assessments to complete and the statutory regional public hearings to occur.
- **Biennial update reports** — due July 1 of every even-numbered year. Required content includes updated occupational/sector/regional findings, program-effectiveness evaluation, proposed legislative and administrative actions, and an assessment of whether the Commission's own mandate or resourcing requires amendment.
- **Annual interim findings letter** — co-chairpersons transmit in odd-numbered years summarizing activities, preliminary findings, and any urgent recommendations. Maintains visibility and accountability without imposing another full report cycle.

All reports and interim letters posted on DCEO's public website contemporaneously with filing, in formats compliant with the Information Technology Accessibility Act.

Section 40 — Data Sharing; Confidentiality

Authorizes interagency data-sharing agreements and qualified academic or research partnerships. Subsection (b) prohibits disclosure of individually identifiable data — UI wage records, education records, employer submissions — to Commission members or to the public. Aggregated or de-identified analyses may be used, subject to cell-size suppression or other statistical disclosure limitation standards. Subsection (c) exempts trade-secret and proprietary information from FOIA disclosure under Section 7(g) when designated as such at the time of submission — a provision intended to encourage candid employer submissions without compromising the State’s information advantage.

Section 45 — Construction

Section 45 is doing structural work and warrants attention. It provides that nothing in the Act shall be construed to regulate, prohibit, or restrict private AI development, training, deployment, or commercial offering, and that the Act does not create a private right of action. The Act is framed as directing State agencies in their traditional planning, educational, and workforce-development roles, to be construed consistent with the State’s reserved authority over State government operations.

This section positions HB5760 clearly within the carve-out for state government use and procurement of AI in Executive Order 14365 (Dec. 11, 2025), reducing federal preemption exposure relative to private-sector AI mandates.

Section 50 — Repeal

The Act is repealed January 1, 2034. A seven-year window provides three full biennial report cycles plus an initial comprehensive report before sunset — enough for meaningful evaluation of whether the Commission’s mandate should be amended, continued, or terminated.

Section 99 — Effective Date

Effective immediately upon becoming law. Given the 90-day appointment window and 60-day first-meeting window, immediate effectiveness puts the first Commission meeting approximately five to six months from enactment.

Note on Changes from the Discussion Draft

Three differences from the working discussion draft are worth flagging:

- No standalone appropriation. The discussion draft included a Section 45 appropriating funds from the General Revenue Fund; the introduced bill omits this provision. Section 30(a)(2) places assessments “subject to available resources.” Sponsors should determine whether to add an appropriation amendment or pursue funding through the omnibus budget process. (See companion fiscal note response memorandum.)
- Self-contained frontier AI definition. The discussion draft cross-referenced the compute threshold to SB 3261; the introduced bill places the 10^{26} FLOPs threshold directly in Section 10, making HB5760 independent of the enactment status of other Illinois AI legislation.
- Consolidated sunset and repeal. The discussion draft included separate sunset-review and repeal provisions; the introduced bill consolidates into Section 50 (repeal January 1, 2034) while preserving the seven-year operational window.